

REPO RATE CHEAT SHEET

Everything you need to know in 2 pages

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What is Repo Rate?

The interest rate at which the **Reserve Bank of India (RBI)** lends money to commercial banks — overnight, against government securities as collateral. "Repo" stands for **Repurchase Agreement**.

CURRENT REPO RATE (April 2026)

6.50%

Set by RBI Monetary Policy Committee · Reviewed every 2 months

Why It Matters to You

- **Banks** borrow from RBI at this rate
- **Banks pass it on** through MCLR (their lending rate formula)
- **Your home loan EMI** changes when MCLR changes
- **Your savings interest** moves in same direction (slowly)
- **Inflation control** — RBI raises rate to slow spending

The Chain Reaction (Repo → Your EMI)

1	RBI raises Repo Rate	<i>Decision in Mumbai</i>
2	Banks' borrowing cost rises	<i>Their cost of capital goes up</i>
3	MCLR adjusts upward	<i>Marginal Cost of Funds-based Lending Rate</i>
4	Your floating-rate loan rate rises	<i>Within 1-3 months of RBI move</i>
5	Your EMI goes UP	<i>You pay more every month</i>

Real EMI Math (Why 0.50% Matters)

Loan: ₹50,00,000 · Tenure: 20 years

Rate	Monthly EMI	Total Interest
8.0%	₹41,822	₹50,37,281
8.5%	₹43,391	₹54,13,898
9.0%	₹45,003	₹58,00,716
9.5%	₹46,656	₹61,97,355
10.0%	₹48,251	₹65,80,222

A 0.50% rate hike adds ₹1,612 to your monthly EMI = ₹19,344 every year. Over 20 years, that's ₹3.86 lakh extra paid.

Repo Rate History (2020-2026)

Date	Rate	Context
Mar 2020	4.40%	Pre-COVID baseline
May 2020	4.00%	COVID emergency cuts
Mar 2022	4.00%	Held flat through pandemic
May 2022	4.40%	Inflation surge begins
Aug 2022	5.40%	Aggressive tightening
Feb 2023	6.50%	Peak (held since)
Apr 2026	6.50%	Current

Quick Rules to Remember

Repo UP →	Your EMI ↑ · Borrowing expensive · Inflation cooling
Repo DOWN →	Your EMI ↓ · Borrowing cheap · Economy stimulating
Real Rate	Nominal Rate – Inflation = your TRUE return on FDs
MCLR Reset	Floating-rate loans reset every 3, 6, or 12 months
Fixed Rate	Doesn't change — but is usually 0.5-1% higher upfront

Want a deeper understanding?

Watch Episode 01 on YouTube: "Repo Rate Explained in 7 Minutes"
Visit salarthashastra.com for free calculators and more articles.